Bangladesh’s IMF Lifeline: Navigating an Economic Storm

Background of the IMF Programme

In January 2023, facing a sharp drop in foreign currency reserves and surging inflation, Bangladesh secured a 42-month support programme from the IMF worth roughly $4.7 billion. The package combined about $3.3 billion from concessional credit facilities and $1.4 billion from a new Resilience and Sustainability Facility. IMF officials said the loan was designed to help stabilize the economy, protect vulnerable people, and support climate goals.

Under the deal, the IMF approved an immediate first tranche of about $476 million. The total support is to be drawn in seven installments, each tied to policy reviews and reforms. These funds were meant to bolster foreign exchange reserves and finance essential imports while the government implements stabilization measures.

Inflation and Currency Reserves

In 2023 and early 2024, inflation in Bangladesh accelerated to double digits, reaching nearly 12% year-on-year (it had been around 6% a year earlier). Food prices and global fuel costs were major drivers. The IMF programme aimed to cool inflation with tighter monetary policy and by reducing subsidies, but price pressures have tested households. The broad-based inflation hit low-income families hardest and raised concerns over purchasing power.

At the same time, Bangladesh’s foreign exchange reserves plunged. By mid-2024 reserves were as low as roughly $13 billion (net), barely enough to cover three months of imports. Since then reserves have slowly recovered, aided by record remittances and import restrictions. Bangladesh Bank reports gross reserves rising back above $20 billion in late 2024, approaching pre-crisis levels by 2025. That restores about 4–5 months of import cover.

Energy Prices and Import Controls

Energy costs have risen sharply. In early 2024, the government raised electricity and gas tariffs about 8–10% and introduced an automatic fuel-pricing formula to end open-ended subsidies. Since 2022, petrol and diesel prices were already increased roughly 50% to reflect global oil prices. These moves cut fiscal subsidies but increased costs for households and businesses, especially energy-intensive industries.

Meanwhile, import controls were tightened to conserve foreign exchange. The central bank raised cash margin requirements on luxury and non-essential imports, and banks must notify regulators of large import Letters of Credit. The payment period for essential imports was extended, and import growth slowed sharply. In the year to mid-2024, total imports fell by more than 10%. This reduced demand helped stabilize the exchange rate and rebuild reserves gradually.

Public Sentiment and Social Impact

Households are feeling the squeeze from higher living costs. Food and fuel price jumps have eroded real incomes. Many families, especially in rural areas, struggle to cope. Opinion surveys and media report rising anxiety and frustration among ordinary citizens. There have been calls for expanding safety nets (cash transfers, food aid) to protect those hit hardest by inflation. Commentators note daily conversations now focus on the cost of living.

This frustration eventually spilled into unrest in 2024. Protests that started over job quotas and educational issues tapped into broader economic grievances. Curfews and internet shutdowns showed the government's concern. Polls suggest public trust dipped as many felt reforms were not communicated or delivered in a way that benefited ordinary people. The instability also had a chilling effect on business activity and investor confidence.

Criticisms of the IMF Deal and Policy Path

Economists note that many IMF conditions were long-needed reforms pushed quickly. Fixing the exchange rate regime, boosting tax revenue, and reining in subsidies were sensible aims, but enforcing them all at once strains government capacity. Critics worry that strict deficit targets (around 3.3% of GDP) and rapid monetary tightening could slow growth more than intended.

Another criticism is the lack of clear social safeguards. The loan document mentions social spending but offers few details on protecting the poor from price hikes. Analysts stress that fuel and electricity price rises will hit low-income families hardest unless offset by better-targeted aid. In short, many feel the adjustment costs are falling unfairly on vulnerable people and that more must be done to shield them during reforms.

Governance and Implementation Challenges

Long-standing governance gaps complicate recovery. Bangladesh's tax system remains narrow and inefficient — tax revenue is only about 10% of GDP. Many businesses evade taxes through exemptions or opaque practices. Budget execution and project implementation often lag targets. Enforcement of financial-sector reforms (like banking supervision) is weak and politically challenging. Corruption and bureaucratic red tape slow progress on infrastructure and social programs.

Recommendations for Sustainable Recovery

Policymakers should balance stabilization with support for the vulnerable. Fiscal consolidation must continue, but social safety nets (cash transfers or food programs) should be expanded to help affected households. Broadening the tax base through fairer, simpler tax rules will increase revenue. Meanwhile, disciplined spending should focus on health, education and infrastructure that boost long-term growth.

On the external side, Bangladesh should promote exports and remittances. The government can support garment and other exports by ensuring reliable power and logistics, and by helping firms move up the value chain. Encouraging remittances through lower fees and diaspora bonds can keep dollars flowing. Meanwhile, import restrictions should be eased gradually as reserves strengthen to allow normal business and investment imports.

Improving governance is key. Anti-corruption measures, better procurement practices, and transparent policy-making will build investor confidence. Enforcing banking and corporate governance reforms will strengthen the financial sector. Finally, sticking to a market-based exchange rate and freeing interest rates will help the economy adjust naturally. If implemented well, these measures can make IMF support a bridge to stability and sustainable growth.

Bangladesh is also highly vulnerable to climate change. Ensuring that funds go to flood protection, cyclone shelters and resilient agriculture will support long-term growth. The IMF-supported programme includes a climate investment agenda; matching this with concrete spending would boost resilience. A transparent, forward-looking strategy linking recovery to sustainability can position the country on a stronger footing. Clear communication and effective execution will be crucial in the coming months.